

**No Industry Entirely Depression-Proof.** The objection to this theory of investment is, of course, that there is no such thing as a depression-proof industry, meaning thereby one that is immune from the danger of *any* decline in earning power. It is true that the Edison companies have shown themselves subject to only minor shrinkage in profits, as compared, say, with the steel producers. But even a small decline may prove fatal if the business is bonded to the limit of prosperity earnings. Once it is admitted—as it always must be—that the industry can suffer *some* reduction in profits, then the investor is compelled to estimate the possible extent of the shrinkage and compare it with the surplus above the interest requirements. He thus finds himself in the same position as the holder of any other kind of bond, vitally concerned with the ability of the company to meet the vicissitudes of the future.<sup>1</sup>

The distinction to be made, therefore, is not between industries which are *exempt* from and those which are *affected* by depression, but rather between those which are more and those which are less subject to fluctuation. The more stable the type of enterprise, the better suited it is to bond financing and the larger the portion of the supposed normal earning power which may be consumed by interest charges. As the degree of instability increases, it must be offset by a greater margin of safety to make sure that interest charges will be met; in other words, a smaller portion of total capital may be represented by bonds. If there is such a lack of inherent stability as to make survival of the enterprise doubtful under continued unfavorable conditions (a question arising frequently in the case of industrial companies of secondary size), then the bond issue cannot meet the requirements of fixed-value investment, even though the margin of safety—measured by past performance—may be exceedingly large. Such a bond will meet the quantitative but not the qualitative test, but both are essential to our concept of investment.<sup>2</sup>

---

<sup>1</sup> Note that a large number of utility holding-company issues (and even some overbonded operating companies) defaulted in 1931–1932, whereas the subsidiary bonds of the United States Steel Corporation maintained a high investment rating despite the exceedingly bad operating results.

<sup>2</sup> For examples of this important point, see our discussion of Studebaker Preferred stock in Chap. 2 and of Willys-Overland Company First 6½s in Appendix Note 34.